Challenges in expanding benefits portfolios: While there is desire to offer benefits to more workers, employers are challenged by significant barriers to further expansion. Our survey respondents cited the cost of benefits packages as their top concern (53%), followed by the related rise in medical costs (46%), multi-generational workforce (32%) and educating employees (29%).

For carriers, the implication is that offering a wide range of products and services in a cost-effective way will be critical in meeting the needs of a multigenerational workforce. Robust support for education, enrollment and utilization will also be necessary to win the market.

Partnering with carriers: Most employers (68%) believe they will work with the same number of carriers in the future. However, as benefits offerings continue to expand, about 30% believe they will need to work with additional carriers. For employers, adding carriers complicates things as it may make it harder to create an integrated and personalized experience for employees.

These changes will enable HR, human capital management and other types of benefits technology platforms to play an even larger and more influential role in the benefits ecosystem and, potentially, drive higher distribution costs.



THE BOTTOM LINE

Our findings confirm that workforce benefits remain at the heart of the employee value proposition and that employee expectations continue to rise. At the same time, senior HR leaders and program managers are looking to demonstrate economic value and tangible returns on every dollar invested in benefits. With more products available and pressure to expand offerings to meet the needs of different generations, effective decision support and AI tools for hyper-personalization can help boost participation and, most importantly, increase employee satisfaction and retention.